



| REAL ESTATE COMMODITIES' IMPACT |



CAUTION HURDLES AHEAD

With the cost of raw materials, labour and logistics skyrocketing, developers wrestle with rising real estate project costs and delays in new launches

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IT IS LIKE SAILING IN THE ocean. Once you are out in the water, you have to complete your journey. You cannot afford to return; neither can you abandon it. No matter what, you need to move forward." This is how Deepak Kapoor, Director at Noida-based real estate major Gulshan Group and President of the Confederation of Real Estate Developers' Associations of India (CREDAI), Western Uttar Pradesh chapter, describes the business of real estate construction. A veteran of various ups and downs of the real estate market over the years, and a firm believer in this apt metaphor, Kapoor says that once a developer has initiated construction of a project, seeing it through to completion is the only option available, irrespective of the circumstances. Determined as he is to complete his projects, the current mar-

ket realities are certain to test his abilities in the coming months. With cost of key raw materials going through the roof and high fuel prices making logistics dearer, even seasoned realtors like Kapoor are feeling the heat now.

Since the pandemic began in March 2020, the costs of key raw materials such as steel, cement, copper and aluminium have risen. As construction activities picked up pace, the ongoing war in Ukraine caused massive disruptions to the global supply chain, further pushing up the prices of these commodities by up to 125 per cent in the past nine months. Its impact is evident. "The costs have gone up significantly and all our calculations on income and profits have gone for a toss," says Kapoor. Since halting construction at ongoing projects is not an option he considers feasible, the realtor is now trying to cope with the new reality by sacrificing profits to ensure timely delivery of the under-construction projects.